some higher-class goods to purchase. The search is frustrated by the non-convertibility of the currency, which discourages the government from selling imported high-quality consumer goods for DDM, and by the inefficiency of a non-market economy that produces long waiting lines for consumer goods [eight years for a Trabant, the standard automobile]. The result is that there is too much money chasing too few goods. If market mechanisms were allowed to take their course, the inability to satisfy consumer demand would lead rapidly to higher prices; if the market mechanisms were suppressed, the results would be shortages of consumer goods and a flourishing black market.18

The year 1979 ended with a surprise announcement that West German Chancellor Helmut Schmidt would meet Honecker in early 1980 for the first East-West German summit since 1971. It was an encouraging sign.